

INDIAN ECONOMY

LEVEL
II



LECTURES

- NATIONAL INFRASTRUCTURE PIPELINE (NIP)
- NATIONAL MONETISATION PIPELINE (NMP)
- DESH IN PLACE OF SEZs

MODULE - 48



NATIONAL INFRASTRUCTURE PIPELINE (NIP) WAS LAUNCHED IN 2019-20

EXPENDITURE PATTERN PROPOSED FOR Rs. 111 LAKH CRORES TILL FY25

- Energy – 24%
- Roads – 18%
- Urban – 17%
- Railways – 12%
- Irrigation – 8%
- Rural Infra – 7%

TO REDUCE LOGISTICS COSTS

- At present, the logistics costs are around 13-14% of GDP.
- Globally, 10% is considered ideal.
- Government goal, through NIP, is to reduce the logistics costs to less than 10% of GDP.

Logistics Performance Index is released by the World Bank once in two years.

WHAT ARE THESE?

- Expressways
- Economic Corridors
- Multi-modal Hubs
- Ports
- DFCs and many more.

NIP ... THINGS ONE SHOULD NOT FORGET!

- Till FY25
- Rs. 111 lakh Cr
- Centre – 39%
- States – 39%
- Private Sector – 22%
- Minimum Rs. 100 Cr under NIP per each project
- Includes Greenfield under construction
- Brownfield for development of completed projects

WHAT IS ASSET MONETIZATION?

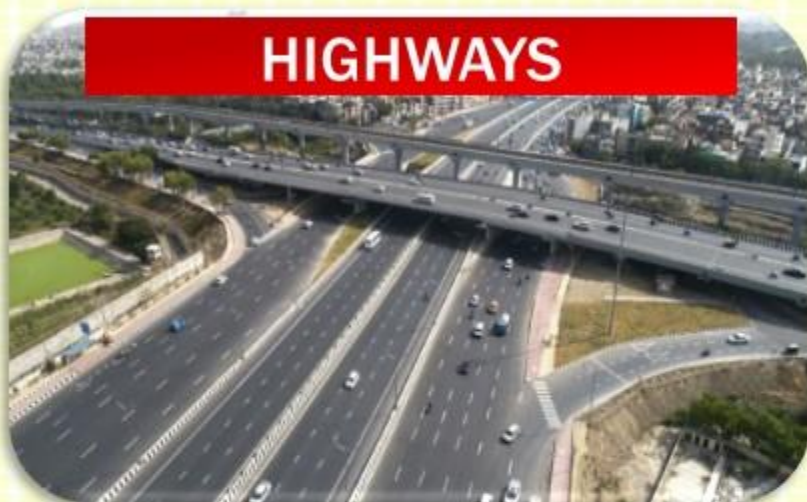


The responsibility of maintenance and toll collection is put in the hands of private sector i.e., these are monetized to raise resources.

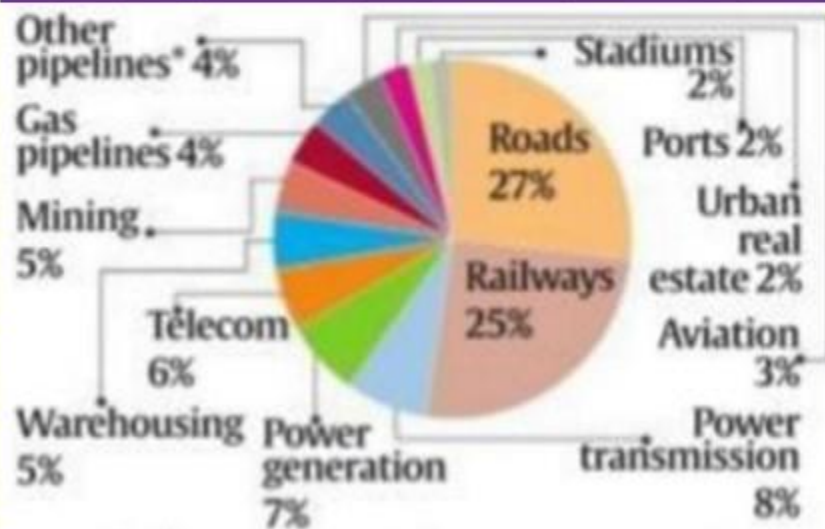
- Asset Monetization is the creation of new revenue sources by unlocking the value of hitherto unutilized or under-utilized public assets.
- For example, NHAI constructs the roads. After that, various roads are bundled together under “Toll-Operate-Transfer (TOT) model”.
- These bundled projects are given to private entities. They maintain and operate the roads, and collect the toll.
- NHAI gets upfront fee in return or regular payments at predetermined intervals. This money can be utilized for constructing other roads.

NATIONAL MONETISATION PIPELINE (NMP) WAS LAUNCHED IN 2021 - 22

HIGHWAYS

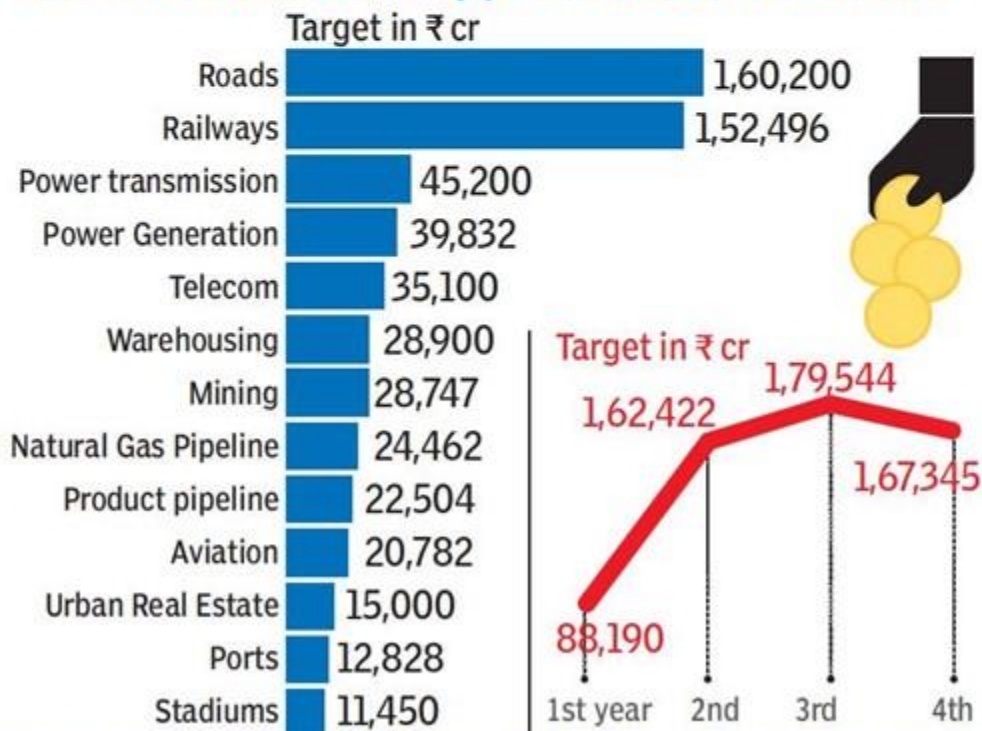


SECTOR-WISE PERCENTAGE



- Monetisation of core infrastructure assets **does not mean selling the assets**, said the Finance Minister.
- Assets are to be **handed back** to the government after **transaction life**. It is only granting the rights for specific period, and **not ownership**.

National Asset Monetisation pipeline FY22-25 (₹ 6 lakh crore)



NMP will comprise brownfield assets only and NITI Aayog will handhold the transactions.



सत्यमेव जयते

NITI Aayog

NATIONAL MONETISATION PIPELINE (NMP)

RS. 6 LAKH Cr IS THE TARGET

- Under National Monetisation Pipeline, the Government aims to generate Rs. 6 Lakh Cr between 2021-22 and 2024-25.
- This money will be used for creating new assets. Ownership of assets will remain with the Government, and it will unlock resources.

It is aimed at tapping private sector investments for new infrastructure creation.

Figures in ₹ trn

Total 5.96



IT WILL ASSIST NIP!

- Under NIP, the Centre's share till 2024-25 is Rs. 43 Lakh Cr. Now Rs. 6 Lakh Cr is proposed to be mobilised through NMP. This constitutes 14% of the proposed outlay by the Centre under NIP.
- This is through unlocking the value in several asset classes, which include roads, ports, airports, railways, warehousing, gas and product pipelines, power generation, transmission, mining, telecom etc.



NATIONAL MONETISATION PIPELINE (NMP)

WHAT ARE THE INSTRUMENTS TO BE USED?

1

PUBLIC PRIVATE PARTNERSHIP MODELS

- Toll-Operate-Transfer (TOT)
- Operate-Manage-Transfer (OMT).
- Refurbish-Operate-Maintain-Transfer (ROMT).
- Operate-Manage-Develop (OMD).



2

STRUCTURAL FINANCING MODELS

- Infrastructure Investment Trusts (InvITs).
- Real Estate Investment Trusts (REITs).

Strict Key Performance Indicators and performance standards will be set. The choice of instrument will be determined by the sector.

NATIONAL MONETISATION PIPELINE (NMP)

SOME OF THE MODELS OF NIP IN DETAIL

1

TOT MODEL



REMEMBER ...

- These are the public funded NH projects.
- Through TOT, Government gets huge amount upfront and this money can be used for further highways expansion.

- Toll Operate Transfer (TOT) model has been developed to encourage private participation in the Highways sector.
- In TOT, a concessionaire pays a one-time concession fee upfront.
- This enables the concessionaire to operate and toll the project stretch for the predetermined 30-year concession period.
- NHA is the authorized agency to monetize public funded national highway projects, that are operational and generating toll revenues for at least two years.

75 operational highway projects have been identified for monetisation using the TOT Model.

SOME OF THE MODELS OF NIP IN DETAIL



2 MODEL OF InvITs AND REITs

- This involves securitisation of assets for raising bonds.
- The assets are placed under the trusts, say Real Estate Investment Trusts (REITs) or Infrastructure Investment Trusts (InvITs).
- Debts on these assets is transferred to the Special Purpose Vehicle holding the trusts.
- Revenue from the operational assets go to the trusts, which issue dividends to investors with a stake in the trust.

DEVELOPMENT OF ENTERPRISE AND SERVICE HUBS (DESH)



UNION BUDGET 2022-23 PROPOSED DESH IN PLACE OF SEZs

- In the Union Budget 2022-23, the Finance Minister had proposed the replacement of the SEZ law with a new legislation. It is Development of Enterprise and Service Hubs (DESH).
- The primary objective of DESH is to create an export promotion ecosystem, aligning trade policy framework with the WTO rules.
- It is proposed to be achieved through inculcating the spirit and enthusiasm among entrepreneurs, ensuring greater transparency in business ecosystem and mobilising international investments especially under the 'China plus One' strategy and Supply Chain Resilience Initiative (SCRI).

MAJOR SHORTCOMINGS IN INDIAN SEZ ARCHITECTURE

5 Out of the total SEZs, 70% are IT & ITES focused and out of the total employment of 20 lakh through SEZs - IT/ITES SEZs catered for 80% of the head count.



4 The SEZ Act does not mandate the promoters from any obligatory requirements in terms of employment generation/revenue collections.



SEVERAL
SYSTEMIC
FLAWS IN THE
DESIGN OF
SEZs !

1 Indian SEZs are much smaller in size (Shenzhen in China has an area of 49,000 hectares, whereas combined area in India's SEZs is just 47,000 hectares) and this prevented SEZs from offering high quality common facilities and plug and play ecosystems.

2 Some SEZs came for just land and it is incidental to note that less than half the land approved for SEZ purposes is used at present.

3 Many of the large Export Oriented Units (EOUs) came for tax exemptions and when the exemptions ended, investments dried up.

MAJOR SHORTCOMINGS IN INDIAN SEZ ARCHITECTURE

9 The SEZs used to function in silos for export purposes only and were unable to capture the nuances of manufacturing operations outside.



8 Other important point is that - to measure the success of SEZ, the condition is "net positive foreign exchange", which is too narrow a definition to comprehend the actual gains made from the existing SEZs.

SEVERAL
SYSTEMIC
FLAWS IN THE
DESIGN OF
SEZs!

6 A few sectors such as - IT & IT Enabled Services, gem and jewellery, pharma, which have benefited under the SEZ Act, failed in facilitating a large-scale economic transformation. Hence, in the context of contribution of economic growth and employment generation, SEZ role is not much!

7 It is generally believed that the SEZs have significantly contributed to the growth story of exports, but industries located in SEZs are heavily dependent on imports - especially in sectors such as gem and jewellery and pharma. Hence, the true gains of such engines of exports are debatable.

WHAT WERE THE RECOMMENDATIONS OF THE BABA KALYANI COMMITTEE IN 2018 ON SEZs FRONT?

- It suggested Employment and Economic Enclaves philosophy, i.e., the philosophy should change from export-oriented to broad-based Employment and Economic Growth approach.
- It recommended extension of sunset clause beyond 2020 & retaining taxation benefits withdrawn earlier.
- It also suggested formulation of separate rules and procedures for manufacturing and services SEZs.

- It recommended infrastructure status to SEZs to improve access to finance and to enable long-term borrowings.
- It suggested enhancing competitiveness by enabling ecosystem development by funding high-speed multi-modal connectivity, business services and utility infrastructure.



WHAT NEEDS TO BE DONE TO MAKE DESH A GREAT SUCCESS?

7 It should aim for scale, scope, system, and synergy in India's manufacturing operations.

6 A predictable and transparent provision, especially on taxation and benefits, will bring in more clarity to the industry partners. It should offer better enabling environment in the form of ease in entry and exit, single window, fiscal and non-fiscal incentives.

5 DESH proposes Domestic Tariff Area sales also, but subject to duty payments. Hence, it should work with twin objectives of substituting imports and stimulating exports.



1 A large global anchor firm to kick start the operations is required in the sectoral hubs for textiles, electronics, pharma etc.

2 PM Gati Shakti should prioritise each hub with speedy factory to ship movement. We should have a GSTN like system to monitor the movement to dismantle all walls and physical controls.

3 It is better to remove IT/ITES firms from the purview of the DESH.

4 Crystal clear guidelines with regard to employment creation as well as promotion of innovation and investment in R&D should be the priority.

WE HAVE TO
LEARN FROM
THE FAILURE
OF SEZs!

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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